

SIPS



A SMALLER SIP

NET INFLOWS through systematic investment plans or SIPs registered a notable dip for the first time in over a year in April. According to data from the Association of Mutual Funds in India (AMFI), SIP contributions fell to ₹11,863 crore in April—₹465 crore lower than the previous month's ₹12,328 crore, which was an all-time high. The previous fiscal saw ₹1.25 lakh crore pour in through SIPs, with month-on-month growth every month except February.

—ASHISH RUKHAIYAR

₹2

**LAKH CRORE
TOTAL ASSETS
UNDER
MANAGEMENT
OF ALL
EXCHANGE-
TRADED
FUNDS AND
INDEX FUNDS
TRACKING THE
NIFTY 50 INDEX,
AT THE END OF
APRIL 2022**

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YES, IT'S SMBHAV

In its efforts to capture India's large offline *kirana* network, US retail giant Amazon has announced a new initiative, Smart Commerce, at its flagship summit Amazon Smbhav. The programme will help local stores digitise their offline operations, enhance in-store experience for walk-in customers, and create their own online storefronts to serve customers directly. Amazon has pledged to digitise 10 million small businesses in the country by 2025, which is expected to reap huge dividends for the retail giant in the long term.

—BINU PAUL

LOCKDOWN GLOOM

Stringent lockdowns in Chinese cities have hit India's consumer electronics and durables industry. As component supply remains lower than local demand and ocean freight rates continue to remain high, manufacturers of ACs, refrigerators, washing machines and TV sets are struggling to contain a 30 per cent surge in production costs. Companies like Godrej, LG, Samsung, and Sony have effected a 10-15 per cent price hike in the past one year, but another 10 per cent price rise is awaiting consumers.

—ARNAB DUTTA



Tight squeeze

IN SPITE OF STEEP PRICE HIKES effected by fast-moving consumer goods (FMCG) companies, their margins remained under pressure even as volume uptake suffered during the January-March quarter. While leading FMCG players such as Hindustan Unilever, ITC, Adani Wilmar, Nestlé, Britannia and Dabur raised prices of daily staples by 3-20 per cent during the quarter, their earnings before interest, tax, depreciation and amortisation (EBITDA) margins fell by 70-350 basis points year-on-year. Volume offtake dwindled, especially in rural markets, as companies reduced pack sizes and hiked prices, and consumers shifted to smaller packs due to the growing cost burden.

—ARNAB DUTTA



TIME TO ABANDON SHIP?

Future Retail looks set to move into the sunset. After a chunk of its stores were quietly taken over by Reliance Retail, now a senior management exodus—including promoter Kishore Biyani's cousin Rakesh, who was the MD, the CFO C.P. Toshniwal, the company secretary and a few other senior team members—has left it gasping for breath.

—KRISHNA GOPALAN

